

Alpha Financial Markets Consulting Group Limited

Annual report and financial statements

Registered number 07160664

31 March 2024

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Company information

Directors	JC Paton GA Cook S Peacock MA Mace (appointed 19 August 2024)
Company number	07160664
Registered office	60 Gresham Street London EC2V 7BB United Kingdom
Auditor	KPMG LLP EastWest Tollhouse Hill Nottingham NG1 5FS United Kingdom
Banker	HSBC Bank UK plc 1 Centenary Square Birmingham B1 1HQ United Kingdom

Strategic report

Business review

The Company functions as an intermediate holding entity within the wider Group¹. As at 31 March 2024 (FY 24²) the Company holds net assets of £13,073,000 (FY 23: £18,428,000). The Company's profit before tax for the year was £16,487,000 (FY 23: £23,090,000), driven by dividend income received from the Company's subsidiaries, partially offset by costs from the ongoing accounting for deferred and contingent consideration related to the acquisition of Lionpoint Holdings, Inc. ("Lionpoint") in FY 22. During the year, an interim dividend in respect of the year ended 31 March 2024 of £22,000,000 (FY 23: £20,000,000) was paid to the Company's sole shareholder, Alpha FMC Bidco Limited, to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. This dividend was facilitated by the receipt of dividends of £18,987,000 (FY 23: £30,578,000) from the Company's directly owned subsidiaries.

Key performance indicators

Working capital management and the sufficiency of assets held by the Company's subsidiaries is a key indicator that is reviewed on a regular basis to monitor cash flow, liquidity and the recovery of trade receivables. The Company itself has a strong balance sheet with net assets of £13,073,000 (FY 23: £18,428,000).

Each month the Directors review the management accounts for each of the Company's subsidiaries and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

The principal risks and uncertainties faced by the Company are outlined below:

- **Macro** – risk that wider market, economic, commercial and financial risks can impact the Company's ability to service clients, their demand for consultancy and technology services and, therefore, the Company's own performance and financial position.
- **Geopolitical** – risk that external events and crises can bring significant uncertainty, volatility, and fragility to geopolitics and markets, which can impact both the Company's operating model, employees and ability to deliver on its strategic objectives.
- **Business strategy** – risk that the Company responds inadequately to changing market factors and/or opportunities, including technological advancements and disruptors. The success of the Company's strategy depends on anticipating changes and developing a proposition that best serves its clients.
- **Data security** – risk of cyber attacks, security breaches and data mishandling, leading to consequent risks to client data, loss of integrity or availability of core data.
- **Acquisition and integration** – risk of failure of the Company to select, complete and integrate businesses that contribute positively to the business model and growth strategy.
- **People** – risk of failure to attract, incentivise and retain the best people with the right capabilities across all propositions, levels and geographies. A failure to undertake effective succession planning for key roles could also adversely increase this risk and impact performance.
- **Quality of service** – risk of failure to maintain quality of service on client delivery engagements.
- **Competitors** – risk that a competitor or new entrant may be able to achieve success and win work from the Company's existing clients. Less mature or more specialist propositions, which the Company chooses to develop, may present less of a competitive advantage.
- **Regulatory environment** – risk that the Company does not successfully identify, address and/ or meet forthcoming regulation, or that the business model and strategy are materially impacted by legal and regulatory changes that restrict the service offering or access to key markets.

Further information on how the Company manages and mitigates these principal risks and uncertainties, is included on pp 57-60 of the Annual Report & Accounts 2024 of the ultimate parent company, Alpha Financial Markets Consulting plc.

Future developments

The Company is expected to continue to operate as an intermediate holding company for the Group. No other future developments are currently foreseen by the Directors.

¹ Group refers to the Company's ultimate parent as at 31 March 2024, Alpha Financial Markets Consulting plc, and its subsidiaries.

² FY 24 is the financial year covering the 12 months to 31 March 2024. By comparison, FY 23 is the previous financial year covering the 12 months to 31 March 2023.

Strategic report (continued)

Future developments (continued)

After the balance sheet date, in August 2024, the Company's ultimate parent company, Alpha Financial Markets Consulting plc, was acquired by Actium Bidco (UK) Limited. Furthermore, in September 2024, the Company acquired White Marble Group Limited, a specialist marketing consultancy firm. Further details on events after the reporting period are disclosed in note 17 to the financial statements.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she considers, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- the likely consequence of any decision in the long term;
- the interests of the Company's employees;
- the need to foster the Company's business relationships with suppliers, customers and others;
- the impact of the Company's operations on the community and the environment;
- the desirability of the Company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between members of the Company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under Section 414CZA of the Companies Act 2006. The Company is a holding company and does not have any employees or clients itself, therefore the disclosure below relates to the Company and its subsidiaries (as listed in note 9 to the financial statements).

The Directors remain committed to engaging with all stakeholders and considering their interests when making any strategic decisions.

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, clients and the communities in which the Company and its subsidiaries operates. The Board also recognises other stakeholder groups including vendors and suppliers, industry bodies and competitors with which Alpha works or associates in the marketplace. Engaging effectively with these stakeholders strengthens Alpha's business relationships and decision and therefore supports its long-term success.

Employees

Attracting, retaining and developing the best talent is essential to Alpha's business success. Alpha is committed to providing a highly rewarding place to work, and to maintaining a strong, meritocratic and inclusive culture that recognises the importance of our people and encourages open communication.

Clients

The success of the Company and its subsidiaries is based on delivering a proposition that helps its clients address their challenges and capitalise on their opportunities. Alpha works hard at developing and sustaining long-term client relationships, which it supports through its global team of consultants and by extending the range of services it offers and the types of projects it carries out.

Communities

Alpha is a growing, profitable business, committed to fostering the same growth and success within the communities in which it operates. As part of this engagement, the Company also considers its corporate responsibility and how to maximise the positive environmental and social impacts of its activities, and to minimise the downsides, giving a solid baseline for developing relevant action plans and targets.

Please refer to pp 34-35 of the Annual Report & Accounts 2024 of the ultimate parent company, Alpha Financial Markets Consulting plc, for further details on the above key stakeholders, and the Group's approach to engagement with each class of stakeholder.

Strategic report (continued)

Key Board decisions during the year

The Directors consider the following to be the key decisions and considerations they have made in the year to 31 March 2024:

Decision	Considerations
Issued the FY 23 Annual Report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act 2006 and the relevant accounting framework.
The Board agreed the FY 24 interim dividend payable to the Company's parent, Alpha FMC Bidco Limited.	To facilitate the payment of Group dividends to the shareholders of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

By order of the Board.



Greg A Cook
Director

17 December 2024

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2024.

Principal activities

The principal activity of the Company is that of a holding company.

Results and dividend

The results for the year are set out in the Strategic Report on p. 2 and in the profit and loss account on p. 10. The Directors consider the current state of affairs of the Company to be satisfactory. During the year, an interim dividend in respect of the year ended 31 March 2024 of £22,000,000 (FY 23: £20,000,000) was paid to the Company's sole shareholder, Alpha FMC Bidco Limited. The Directors have not recommended the payment of a final dividend (FY 23: £nil).

Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton
GA Cook
S Peacock
MA Mace (appointed 19 August 2024)

Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 23: £nil).

Employee involvement

Details of how the Company and its subsidiaries engage with employees are set out in the Section 172 statement of the strategic report on p. 3.

Alpha is a Disability Confident Employer. It is Alpha's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. Alpha aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company and its subsidiaries.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is included on pp 46-51 of the Group's Annual Report & Accounts 2024, which are available on the Group's website.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



Greg A Cook
Director

60 Gresham Street
London
EC2V 7BB
United Kingdom

17 December 2024

Statement of Directors' responsibilities in respect of the strategic report and the directors' report and the financial statements

The Directors are responsible for preparing the strategic report and the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting Group Limited ("the Company") for the year ended 31 March 2024 which comprise the balance sheet, profit and loss account, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because there are no revenue transactions.

We did not identify any additional fraud risks. We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA, unusual journals with a credit or debit entry to cash.
- Assessing significant accounting estimates for bias.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the Directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit

We have nothing to report in these respects.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Directors' responsibilities

As explained more fully in their statement set out on p. 6, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants

East West,
Tollhouse Hill
Nottingham NG1 5FS

17 December 2024

Profit & loss account
for the year ended 31 March 2024

	Note	Year ended 31 March 2024 £000	Year ended 31 March 2023 £000
Administration expenses	2	(828)	(5,263)
Operating loss		(828)	(5,263)
Finance expense	6	(2,031)	(2,588)
Finance income	7	359	363
Income from shares in Group undertakings		18,987	30,578
Profit before taxation		16,487	23,090
Taxation credit	8	158	415
Profit for the year		16,645	23,505

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations. There was no other comprehensive income in either the current or preceding year and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet
as at 31 March 2024

	Note	As at 31 March 2024 £000	As at 31 March 2023 £000
Non-current assets			
Investments	9	85,174	85,174
Amounts owed by Group undertakings	10	2,087	-
		<u>87,261</u>	<u>85,174</u>
Current assets			
Trade and other receivables	10	11,269	27,715
Corporation tax		-	187
Cash and cash equivalents	11	50	21,300
		<u>11,319</u>	<u>49,202</u>
Current liabilities			
Trade and other payables	12	(85,167)	(107,026)
		<u>(85,167)</u>	<u>(107,026)</u>
Net current liabilities		<u>(73,848)</u>	<u>(57,824)</u>
Total assets less current liabilities		<u>13,413</u>	<u>27,350</u>
Non-current liabilities			
Other non-current liabilities	13	(340)	(8,922)
Net assets		<u>13,073</u>	<u>18,428</u>
Capital and reserves			
Issued share capital	14	6,051	6,051
Share premium	14	1,437	1,437
Capital contribution reserve		72	72
Other reserves		137	137
Retained earnings		5,376	10,731
Total shareholders' equity		<u>13,073</u>	<u>18,428</u>

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 17 December 2024. They were signed on its behalf by:



Greg A Cook
Director

Company registered number: 07160664

Statement of changes in equity

for the year ended 31 March 2024

	Issued share capital £000	Share premium £000	Capital contribution reserve £000	Other reserves £000	Retained earnings £000	Total shareholders' equity £000
As at 1 April 2022	6,051	1,437	72	137	7,226	14,923
Total comprehensive income for the period						
Profit for the year	-	-	-	-	23,505	23,505
Transactions with owners						
Dividends	-	-	-	-	(20,000)	(20,000)
As at 31 March 2023	<u>6,051</u>	<u>1,437</u>	<u>72</u>	<u>137</u>	<u>10,731</u>	<u>18,428</u>
Total comprehensive income for the period						
Profit for the year	-	-	-	-	16,645	16,645
Transactions with owners						
Dividends	-	-	-	-	(22,000)	(22,000)
As at 31 March 2024	<u>6,051</u>	<u>1,437</u>	<u>72</u>	<u>137</u>	<u>5,376</u>	<u>13,073</u>

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

General information

Alpha Financial Markets Consulting Group Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 07160664 and the registered address is 60 Gresham Street, London EC2V 7BB, United Kingdom.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

Basis of preparation

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking at 31 March 2024, Alpha Financial Markets Consulting plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, United Kingdom.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRS;
- The requirements of paragraphs 17 and 18A of IAS 24 Related Party Disclosures; and
- The requirements in IAS 24 to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-based Payment in respect of Group settled share-based payments;
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities; and
- The requirements of IFRS 7 Financial Instruments: Disclosures.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, access to intercompany funding from other Group entities, cash liquidity and existing borrowing facilities.

Notwithstanding net current liabilities of £73,848,000 as at 31 March 2024, the financial statements have been prepared on a going concern basis. The Directors consider this to be appropriate on the basis of cash flow forecasts prepared for the wider Group, which support the ability of the Company to operate as a going concern. The Group prepared cash flow forecasts covering the going concern period, which have been revised to reflect the acquisition of the Group by Actium Bidco (UK) Limited after the reporting date, as disclosed in note 17, including the restructuring of the Group's financing arrangements through the going concern period. The Directors of the Group considered the principal risks and mitigants and analysed a base case, reflecting the Group's board approved budget for the going concern period, as well as a reasonably possible downside scenario. This downside scenario models a 20% reduction in Group forecast revenue with some limited cost mitigants applied.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Going concern (continued)

These modelled mitigants consist of a hiring freeze alongside a partial reduction in the Group's discretionary profit share bonus payment budgeted for the FY 25 performance year, with the Group's underlying cost base unaffected. In this reasonable downside scenario, the Group has relied upon access to funding of up to £10.0m from the Group's available £50.0m RCF through the going concern period. No covenant breaches have been identified in either scenario.

The Directors consider this reasonably possible scenario and the sequence of events that could lead to it to be unlikely. There remains headroom on the Group's RCF to facilitate further liquidity, as well as scope for further mitigating cost actions to be taken on the underlying cost base, if required.

The ability of the Company to settle its liabilities as they fall due within the going concern period is dependent on the Company's ultimate parent company not seeking repayment of the amounts currently due to other companies controlled by the Group, which at 31 March 2024 amounted to £75,000,000. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility ("RCF") of £50.0m. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

After careful consideration, the Directors have a reasonable expectation that the Company's existing resources, supplemented by the support of the wider Group, are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

Principal accounting policies

Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses.

Judgements

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the year ending 31 March 2024.

Identification of the cash-generating unit comprising Obsidian Solutions Ltd and Aiviq Ltd

As further disclosed in the estimates section below, the Company has performed a value in use assessment of the £7.8m investment held in Obsidian Solutions Ltd. The Company has applied judgement in determining the appropriate level at which to assess the financial performance of Obsidian and Aiviq for the purpose of calculating the value in use of the Obsidian and Aiviq investments.

Following the acquisition of Obsidian in the year ended 31 March 2020, the two entities have become increasingly integrated each year, due to the complimentary nature of their respective propositions, and in FY 24 are managed as a single cash-generating unit with one shared management team and client base.

The Directors have therefore made the judgement that these entities represent one cash-generating unit for the purpose of the valuation of the Company's investments in Obsidian and Aiviq.

Estimates

The Directors have identified the following area as a key estimate that is considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Valuation of the Company's investment in Obsidian Solutions Ltd

Following the acquisition of Obsidian Solutions Limited in the year-ended 31 March 2020, the Company recognised an initial investment of £7.8m in the statement of financial position. Following a period of macro-uncertainty in the early years of ownership, performance has not yet reached the anticipated levels from the acquisition date. At each reporting date the Company reviews the recoverable amount of this investment through the calculation of its value in use. Despite making assumptions that are considered to reflect management's best estimate of future performance at the balance sheet date, the Directors note that there remains a significant risk of a material adjustment to the valuation of this investment within the next financial year due to the sensitivity of these calculations to changes in assumptions.

Please refer to note 9 for sensitivity analysis and further detail on the assumptions applied by management.

Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

The Company recognises an expected credit loss provision in relation to financial assets. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies amounts owed by Group undertakings as current when it expects to recover the amounts within twelve months of the balance sheet date, based on its assessment of the counterparty's ability and intention to settle the balances within this period. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9. Bank overdrafts that are repayable on demand and are included as a component of cash and cash equivalents.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term.

Other financial liabilities held by the Company are recognised at amortised cost.

Derivatives

The Company may use derivative financial instruments to manage its exposure to foreign exchange and other risks. The Company does not use derivative financial instruments for speculative purposes. Derivatives are recorded at their fair value on the balance sheet. Gains and losses on these instruments are recognised immediately in the profit and loss. A derivative with a positive fair value is recognised as a financial asset whereas a derivative with a negative fair value is recognised as a financial liability. The Company has not formally designated any derivative financial instruments to qualify for hedge accounting. See note 12 for further details.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitor for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

External borrowings

All loans and borrowings are initially recognised at fair value, equal to the value of amounts received. Borrowings are subsequently stated at amortised cost; any difference between the proceeds and the redemption value is recognised in the profit & loss account over the period of the borrowings using the effective interest method.

Impairment of non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or CGU is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the

Notes to the financial statements (continued)

1 Accounting policies (continued)

Impairment of non-financial assets (continued)

smallest group of assets that generates independent cash inflows (the CGU); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in the statement of profit and loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amounts of other assets in the CGU (or group of CGUs) on a pro-rata basis.

An impairment loss relating to non-financial assets, excluding goodwill, is reversed if, and only if, the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior years are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Deferred and contingent consideration on acquisition

Deferred and contingent consideration may arise on acquisitions. Deferred consideration arises when settlement of all or part of the cost of business combination falls due after the acquisition was completed. Contingent consideration arises where consideration is dependent on the future performance of the acquired company.

Deferred and contingent consideration associated with business combinations that is to be settled in cash is assessed in line with agreed contractual terms. Consideration payable is discounted for the time value of money and recognised as capital investment cost at fair value when the deferred or contingent consideration is not employment-linked. Alternatively, where amounts payable are contingent upon future employment, these amounts are recognised as a remuneration expense over the deferral or contingent performance period.

In circumstances where there is an option to settle in the form of cash or a variable number of shares, the Company recognises a financial liability for the fair value of the discounted consideration. Where consideration is settled in a fixed number of shares, the consideration is classified as equity, it is not remeasured, and settlement is accounted for within equity.

Subsequent to the acquisition date, amounts relating to deferred consideration are measured at amortised cost. Contingent consideration amounts are recognised at fair value through the consolidated statement of comprehensive income.

At each balance sheet date, the fair value of contingent consideration is measured using level 3 inputs in accordance with the fair value hierarchy and as such these calculations contain estimation uncertainty, as they relate to future performance. The key inputs associated with the valuation of these liabilities include the potential future cash flows of each acquired business, the likelihood of an earn-out payment being made and estimating an appropriate discount rate to apply to these future cash flows.

Changes in the carrying value of deferred and contingent consideration liabilities associated with the passage of time are recognised as a finance cost.

Consideration payments, including all deferred and contingent consideration paid in the year, are reported within investing activities in the consolidated statement of cash flows, except for employment-linked payments, which are reported within operating activities.

Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

Dividend income

Dividend income is recognised in the profit and loss account on the date the entity's right to receive the dividend is established.

Dividends payable

Dividends payable are recognised in the statement of changes in equity on the date the entity's obligation to pay the dividend is established.

Taxation

Current and deferred tax is recognised in the profit & loss account.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Taxation (continued)

Current tax is the expected tax payable or receivable on the taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2024. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 17 Insurance Contracts, effective from 1 January 2023;
- Amendments to IFRS 17, effective from 1 January 2023;
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2), effective from 1 January 2023;
- Definition of Accounting Estimates (Amendments to IAS 8), effective from 1 January 2023;
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12), effective from 1 January 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – Application of the exception and disclosure of that fact, effective from 23 May 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – other disclosure requirements, effective from 1 January 2023; and
- International Tax Reform – Pillar Two Model Rules (Amendments to the 'IFRS for SMEs' Standard), effective from 29 September 2023 (not yet endorsed by the UK).

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2024.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Administration expenses

	FY 24 £000	FY 23 £000
Fair value adjustment on contingent acquisition consideration	-	667
Employment-linked consideration	817	1,658
Social security on employment-linked consideration	58	200
Foreign exchange (gain)/loss	(146)	2,737
Other	99	1
Total administration expenses	828	5,263

Foreign exchange gains and losses primarily relate to the re-translation of US dollar cash balances, the Lionpoint acquisition liability denominated in US dollars, and amounts owed to Group undertakings denominated in various foreign currencies.

Notes to the financial statements (continued)

3 Auditor's remuneration

	FY 24 £000	FY 23 £000
Audit of these financial statements	45	36

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

4 Staff numbers and costs

The Company had no employees during the current or prior year.

5 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior period, was negligible and therefore has not been disclosed.

6 Finance expense

	FY 24 £000	FY 23 £000
Interest payable	537	171
Unwind of discounting on deferred and contingent consideration	1,494	2,417
Total finance expense	2,031	2,588

7 Finance Income

	FY 24 £000	FY 23 £000
Interest receivable	359	363
Total finance income	359	363

8 Taxation

	FY 24 £000	FY 23 £000
<i>Current tax</i>		
Current tax on income for the period	-	(187)
Group relief payable/(receivable)	(156)	3
Adjustments in respect of prior periods	(2)	(231)
Total current tax	(158)	(415)

The Finance Act 2022 increased the main rate of corporation tax in the UK to 25% from 1 April 2023.

Notes to the financial statements (continued)

8 Taxation (continued)

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 24 £000	FY 23 £000
Profit before taxation	16,487	23,090
Tax using the UK corporation tax rate of 25% (FY 23: 19%)	4,122	4,387
Income not taxable	(4,877)	(5,810)
Adjustments in respect of prior periods	(2)	(231)
Expenses not deductible for taxation	599	1,239
Group relief (received)/surrendered	156	(3)
Payment/(receipt) for group relief	(156)	3
Total tax charge/(credit) for the year	(158)	(415)

9 Fixed asset investments

	Shares in Group undertakings £000
Cost	
At 1 April 2022	85,171
Additions	3
Disposals	-
At 31 March 2023	85,174
Additions	-
Disposals	-
At 31 March 2024	85,174

The Company's fixed asset investments are all in relation to investments in subsidiaries. The Company holds no tangible fixed assets.

Impairment review of investment in Obsidian Solutions Ltd

As disclosed within note 1, the valuation of the Company's investment in Obsidian Solutions Ltd ("Obsidian") is a significant estimate in these financial statements. In performing an impairment analysis on this investment, the Group have identified the appropriate cash-generating unit ("CGU") upon which to perform a discounted cash flow analysis to measure the value-in-use of this CGU. In identifying the most appropriate CGU the Directors have applied judgement and considered the combined financial performance of Obsidian Solutions Ltd and Aiviq Ltd, as disclosed within note 1. These investments have a carrying value of £7.8m and £nil, respectively.

In the calculation of the value in use of this investment, several assumptions have been made that reflect management's best estimates at the balance sheet date. The Board-approved budget for FY 25 forms the basis for the cash-flow projections for the next financial year. The cash flow projections for the four years subsequent to the budget year reflect the Directors' expectations of the medium-term operating performance of the CGU. Key assumptions used in the value in use calculation include the appropriate discount rate, medium-term growth rate and long-term growth rate to apply to the CGU's financial forecasts. The key assumptions are summarised below:

Pre-tax discount rate	14.7%
Medium-term growth rate	20.0%
Long-term growth rate	1.0%

Notes to the financial statements (continued)

9 Fixed asset investments (continued)

Sensitivity analysis

As noted above, a change in the assumptions applied in the calculation of value in use for this investment could result in a material change to the carrying amount of the investment in the next financial year. The Company has performed sensitivity analysis on the key assumptions as set out below to reflect the impact of reasonably possible changes:

- A 4.0% increase in the pre-tax discount rate from 14.7% to 18.7% would result in an impairment of £0.7m.
- A 10.0% decrease in the assumed medium-term growth rate from 20.0% to 10.0% for the period from FY 26 to FY 29, at consistent gross profit margins, would result in an impairment of £1.6m.
- The Directors consider that no reasonably possible change to the long-term growth rate could result in impairment of this investment.
- The Directors note that the sensitivity analysis shown above demonstrates that despite management applying their best estimate to these assumptions at the reporting date, there remains risk that this investment may become impaired were these assumptions to prove inaccurate.

The undertakings in which the Company had interest at the year end of more than 20% are as follows:

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2024	Class and percentage of shares held - 31 March 2023
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Aviq Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting, Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting (Insurance) France S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting (Luxembourg) S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Germany GmbH	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Ltd.	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary
Axsys Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Axsys Financial Software Consulting Canada Limited	Canada	11	Consultancy services	100% ordinary	100% ordinary
Axsys Consulting USA Inc.	USA	12	Dormant	100% ordinary	100% ordinary
Axsys Danmark ApS	Denmark	13	Consultancy services	100% ordinary	100% ordinary
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Obsidian Alpha Data Solutions LLC	Serbia	14	Consultancy services	100% ordinary	100% ordinary
Alpha FM Consulting Canada Inc.	Canada	15	Consultancy services	100% ordinary	100% ordinary
Lionpoint Holdings, Inc.	USA	16	Intermediate holding company	100% ordinary	100% ordinary
Lionpoint Group, LLC.	USA	17	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group (UK) Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group SA	Switzerland	18	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group Pty Limited	Australia	19	Consultancy services	100% ordinary	100% ordinary
Lionpoint GmbH	Germany	20	Consultancy services	100% ordinary	100% ordinary
Alpha Data Solutions Limited	UK	1	Dormant	100% ordinary	100% ordinary
Alpha Financial Markets Consulting MENA Ltd ¹	UK	1	Consultancy services	100% ordinary	100% ordinary
Shoreline Asset and Wealth Consulting Inc. ²	Canada	21	Dormant	100% ordinary	N/A
Shoreline Consolidated PTY Ltd ²	Australia	22	Intermediate holding company	100% ordinary	N/A
Shoreline Consulting Pte. Ltd. ²	Singapore	23	Consultancy services	100% ordinary	N/A
Shoreline Consulting PTY Ltd ²	Australia	22	Consultancy services	100% ordinary	N/A

¹ Alpha FMC (Newco) Limited has changed its name to Alpha Financial Markets Consulting MENA Ltd.

² All Shoreline entities were acquired in May 2023 by Alpha Financial Markets Consulting Australia PTY Limited.

Notes to the financial statements (continued)

9 Fixed asset investments (continued)

Registered addresses:

1. 60 Gresham Street, London, EC2V 7BB, UK
2. 12 East 49th Street, New York, NY 10017, USA
3. 6 Square de L'Opera Louis Jouvét, 75009 Paris, France
4. 19/21 Route d'Arlon - bloc B, L-8009 Strassen, Luxembourg
5. Strozziilaan 101, Amsterdam, 1083 HN, The Netherlands
6. Stockerstrasse 55, 8002 Zürich, Switzerland
7. Kurt- Blaum- Platz 8 63450, Hanau, Germany
8. 6A Shenton Way #04-01 Downtown Gallery, Singapore 068815
9. 22/F Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
10. Quay Quarter Tower, 50 Bridge Street, Sydney NSW 2000, Australia
11. 1800-13401 108th Avenue, Surrey, British Columbia V3T 5T3, Canada
12. Incorp Services, Inc., 919 North Market Street, Suite 950, Wilmington, DE 19801
13. Flaesketorvet 68, DK-1711 Copenhagen, Denmark
14. Dvadesetsedmog marta 6-6a, 11060 Palilula, Belgrade, Serbia
15. Suite 1700, Park Place, 666 Burrard Street, Vancouver, BC V6C2X8, Canada
16. 251 Little Falls Drive, Wilmington, Delaware 19808-1674, USA
17. 8 The Green, Suite A, Dover, Delaware 19901, USA
18. Rue d'Italie 11, 1204 Geneva, Switzerland
19. Ground Floor, 123 Walker Street, North Sydney NSW 2060, Australia
20. c/o KUNZ Rechtsanwälte, Antoniterstraße 14-16, Köln, 50667, Germany
21. 199 Bay Street, Suite 5300 Commerce Court West, Toronto, Ontario, M5L 1B9 Canada
22. Accru Felsers, Level 6, 1 Chifley Square, Sydney, NSW 2000
23. Marina Bay Financial Centre, 8 Marina Boulevard #11-00, 018981, Singapore

10 Trade and other receivables

	FY 24 £000	FY 23 £000
Amounts owed by Group undertakings	11,269	27,715
Total amounts due within one year	11,269	27,715

The Directors are satisfied that amounts owed by Group undertakings disclosed above are recoverable. Expected credit losses in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Amounts owed by Group undertakings are interest free and are repayable on demand. Amounts owed by Group undertakings and interest free and are repayable on demand. The Company classifies amounts owed by Group undertakings as current when it expects to recover the amounts within twelve months of the balance sheet date, based on its assessment of the counterparty's ability and intention to settle the balances within this period. Otherwise, the amounts are classified as non-current.

As at 31 March 2024, amounts owed by Group undertakings of £2,087,000 (FY 23: £nil) are presented separately as non-current assets on the balance sheet.

11 Cash and cash equivalents

	FY 24 £000	FY 23 £000
Cash at bank	50	21,300
Cash and cash equivalents	50	21,300

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

The cash balance held at 31 March 2023 was used to pay the deferred and contingent amounts due in FY 24 in relation to the acquisition of Lionpoint.

Notes to the financial statements (continued)

12 Trade and other payables

	FY 24 £000	FY 23 £000
Amounts owed to Group undertakings	75,000	90,822
Other payables	10,167	16,204
Total amounts owed within one year	<u>85,167</u>	<u>107,026</u>

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand. It is the understanding of the Directors that the other Group entities have no intention to request the repayment of amounts owed within the next twelve months.

Other payables of £10.2m (FY 23: £16.2m) relate to the deferred and contingent consideration, and other acquisition-related amounts, due on the Lionpoint acquisition in the next twelve months.

During the year, the Company entered into an FX swap derivative contract in order to manage the Company's currency requirements alongside the foreign exchange exposure arising from the Lionpoint acquisition liabilities denominated in US dollars. The near leg of the swap was settled in November 2023, with the Company selling \$10.0m in return for £7.9m at the prevailing spot rate of 1.26. The far leg of the swap to be settled in August 2024 requires the Group to sell £7.9m in return for \$10.0m at a forward rate of 1.26. The Group has measured this derivative at fair value through profit and loss, in line with the requirements of IFRS 9, and has not formally designated this derivative to qualify for hedge accounting. The derivative financial liability has a carrying amount of £21,000 and is included within other payables in the table above (FY 23: £nil).

13 Other non-current liabilities

	FY 24 £000	FY 23 £000
Other payables	340	8,922
Total other non-current liabilities	<u>340</u>	<u>8,922</u>

As at 31 March 2024, other payables of £0.3m (FY 23: £8.9m) relates to residual payments on the Lionpoint acquisition due after more than twelve months.

Of the total £10.5m (FY 23: £25.1m) acquisition-related liability at the balance sheet date, £1.0m (FY 23: £7.4m) relates to deferred consideration and the remaining £9.5m (FY 23: £17.7m) relates to contingent consideration. Within these deferred and contingent consideration liabilities, £1.7m (FY 23: £2.6m) relates to employment-linked amounts.

The Group has assessed the estimation uncertainty of the liability held in relation to contingent consideration. The fair value of acquisition earn-outs is no longer considered to be an area of significant estimation uncertainty given proximity to and more certainty around the final Lionpoint earn-out payments.

14 Capital and reserves

Share capital

	FY 24 £000	FY 23 £000
Allotted, called up and fully paid		
603,589,325 ordinary shares of £0.01 each	6,036	6,036
250,000 USA ordinary shares of US\$0.10 each	15	15
Balance at the end of the year	<u>6,051</u>	<u>6,051</u>

The holders of ordinary shares and USA ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium as at 31 March 2024 and 31 March 2023 of £1,437,000 relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Notes to the financial statements (continued)

14 Capital and reserves (continued)

Dividends

An interim dividend payment totalling £22,000,000 was made to the Company's sole shareholder, Alpha FMC Bidco Limited (FY 23: £20,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, at 31 March 2024, Alpha Financial Markets Consulting plc, to its shareholders. This dividend was facilitated by the receipt in the year of dividends totalling £18,987,000 (FY 23: £30,578,000) from the Company's subsidiaries. The Directors have not recommended the payment of a final dividend (FY 23: nil).

15 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

16 Ultimate parent company

As at 31 March 2024, the ultimate parent company and controlling party was Alpha Financial Markets Consulting plc, a company incorporated in England and Wales.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, United Kingdom, or the website investors.alphafmc.com.

17 Events after the reporting period

Change in control of the Company following the acquisition of the Group by Actium Bidco (UK) Limited

On 19 August 2024, the Company's ultimate parent company, Alpha Financial Markets Consulting plc, was acquired by Actium Bidco (UK) Limited. Following this acquisition, the shares of Alpha Financial Markets Consulting plc were de-listed from AIM on 20 August 2024 and the company was re-registered as a private limited company under the Companies Act 2006. Actium Bidco (UK) Limited is a wholly owned indirect subsidiary of Actium Topco (UK) Limited, which is owned by certain funds managed by Bridgepoint Advisers Limited.

Disposal of investments in subsidiaries

In September 2024, following the acquisition of the Group by Actium Bidco (UK) Limited, the Company disposed of its shares in two wholly owned subsidiaries, Alpha Financial Markets Consulting, Inc. and Lionpoint Holdings Inc. These disposals were part of a restructuring process to implement an appropriate post-acquisition structure. The subsidiaries remain part of the group of companies owned by Actium Bidco (UK) Limited following the disposal. The investments in subsidiaries had a total net book value of £53.8m and were disposed of for consideration of £210.0m, resulting in a profit on disposal of £156.2m.

Acquisition of White Marble Group Limited

In September 2024, the Company reached an agreement to acquire 100% of the issued share capital of White Marble Group Limited, a specialist marketing consultancy firm to asset management, wealth management and alternatives clients, on a cash-free, debt-free basis, for total consideration of up to £6.2m. Consideration of £1.5m was paid in cash on completion, with the remaining amounts, of up to £4.7m, contingent upon the performance of the White Marble Group against financial targets through a three-year earn-out period.

These events have not been adjusted for in the financial statements for the year ended 31 March 2024 as they resulted from conditions that arose after the end of the reporting period.